

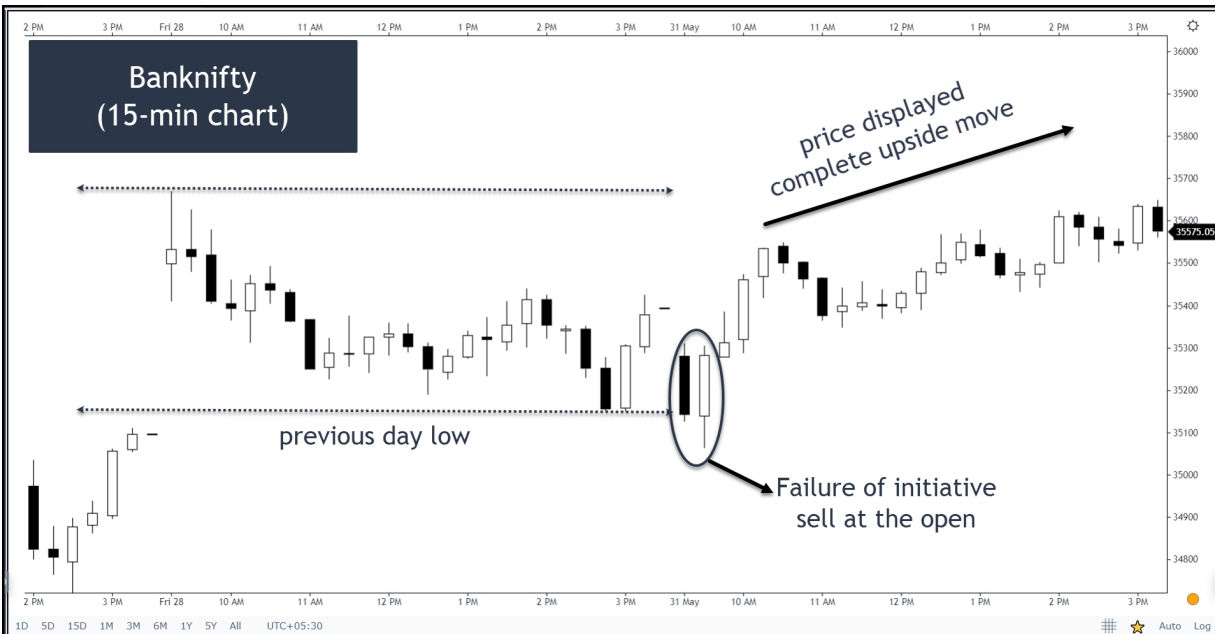


Image 5.20 – Failure of initiative sell (resulted in upside move)

Above image shows an example of the failure of initiative selling during the open action. The price opened close to PDL, and it appeared like big sellers were involved.

But sellers failed to sustain the momentum in the second candle. Strong buyers entered in the second candle, and the price bounced back above PDL. Hence, traders can plan a long trade above this candle high, keeping a stop-loss below the low.